

ADOBE INC. • NASDAQ: ADBE

# Adobe: the market prices a stagnant cash cow

The core franchises remain durable, AI monetization is real but early, and the valuation offers unusually asymmetric upside if Adobe merely converts reach into paid usage.

RATING

**BUY**

PRICE

**\$237.69**

12-MONTH TARGET

**\$465**

UPSIDE

**96%**

Adobe is not a no-risk compounder; it is a high-quality, cash-rich franchise priced as if AI disruption has already won. Q3 delivered 13% revenue growth, 15% non-GAAP EPS growth and a record \$2.52B of operating cash flow, while the stock trades near 10x guided FY2026 non-GAAP earnings.

## WHY BUY

- 1B+ monthly active users create a larger conversion funnel.
- AI-first ARR exceeded \$650M, up more than 150% YoY.
- TTM FCF of about \$10.6B supports buybacks and reinvestment.
- Base DCF of ~\$435 and 17x FY27E EPS of ~\$442 sit either side of the \$465 target.

## WHY THE MARKET DOUBTS IT

- RPO growth slowed to 8.4%; net-new ARR fell ~38% YoY.
- Freemium delays monetization and raises AI compute cost.
- Figma, Canva and AI-native tools erode edge workflows.
- CEO, CFO and creative leadership are all in transition.

52-WEEK RANGE

**\$190.12-\$370.86**

MARKET CAPITALIZATION

**~\$96B**

YTD PERFORMANCE

**-32%**

**Investment stance:** Begin with a starter-to-half position. Add only as paid conversion, RPO and net-new ARR validate the thesis. This document is analysis, not personalized investment advice.

# Three recurring-revenue franchises create unusual cash durability

Adobe has evolved from desktop software vendor into an integrated creation, document and customer-experience platform. Subscription revenue was \$6.58B, or 97% of Q3 revenue, giving the model high visibility even as new bookings soften.<sup>[1]</sup>

## Creative Cloud

Photoshop, Illustrator, Premiere Pro, After Effects, InDesign and Express form the professional content stack. The economic engine is per-seat subscription pricing plus Firefly credits.

### CORE ADVANTAGE

Deep workflows, trained users, plug-ins, formats and production standards.

### PRESSURE POINT

Canva at the low end; Figma in UI/UX; AI-native image/video at ideation.

## Document Cloud

Acrobat and PDF services monetize a near-universal document standard through editing, e-signature, collaboration and AI-powered document intelligence.

### CORE ADVANTAGE

PDF ubiquity, 2B+ Acrobat installs and broad individual-to-enterprise distribution.

### PRESSURE POINT

DocuSign in e-signature; Microsoft and AI assistants in general productivity.

## Experience Cloud

Adobe Experience Platform, Analytics, Journey Optimizer, GenStudio and the new CX Enterprise layer connect data, content creation, activation and measurement.

### CORE ADVANTAGE

A differentiated content supply chain from creation through activation.

### PRESSURE POINT

Salesforce, Microsoft and specialist martech products can simplify procurement.

## The economic flywheel

1. **Acquire:** Free Acrobat, Express, Firefly and partner surfaces broaden reach.
2. **Engage:** Files, libraries, brand systems and workflows deepen switching costs.
3. **Convert:** Professional capability, collaboration, governance and AI credits drive payment.
4. **Expand:** Teams adopt more seats, clouds and consumption.

### Q3 FY2026 SCALE

**\$27.5B**

ending ARR

**1B+**

monthly active users

**44.0%**

non-GAAP operating margin

**~36%**

TTM FCF margin

## INVESTMENT INTERPRETATION

The debate is not whether Adobe has scale or cash flow; it does. The debate is whether lower-cost and AI-native front ends commoditize enough creative work before Adobe monetizes its larger free funnel. That makes conversion and backlog metrics more important than headline MAUs.

# Adobe is becoming an AI distribution and orchestration layer

The strategy is broader than adding generation buttons to Photoshop. Adobe is opening the model layer, widening the funnel and moving the interface from applications toward agents that coordinate multi-step work.

## 1. Own the workflow, not every model

Firefly now combines Adobe's first-party models with more than 30 partner models, including Google Veo, Runway, Kling, Luma, FLUX, ElevenLabs and Topaz. This reduces the risk that one model's quality gap breaks the platform thesis. Adobe can monetize selection, credits, workflow and governance even when a partner provides the model.

## 2. Make commercial safety the premium layer

Firefly's licensed/public-domain training posture, enterprise controls and indemnification are meaningful for regulated brands. Raw model quality changes quickly; provenance, approval, rights and brand consistency are harder to bolt on. The moat shifts from "best generator" to "safest production system."

## 3. Expand distribution beyond Adobe's UI

Photoshop, Express and Acrobat are available inside ChatGPT, and Adobe's agentic capabilities can connect into Anthropic, Google Cloud, Microsoft and OpenAI surfaces.<sup>[4][5]</sup> This cedes some interface ownership but protects relevance as user intent migrates toward conversational tools.

### EARLY TRACTION

**\$650M+**

AI-first ending ARR, +150% YoY

**~\$300M**

Firefly ending ARR, +40% QoQ

**100M+**

creative freemium MAU, +70% YoY

## 4. Move from tools to outcomes

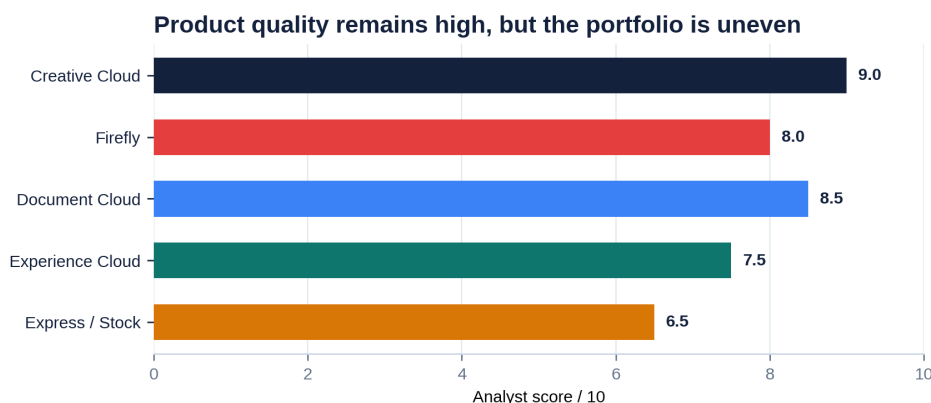
Creative Agent, Acrobat Productivity Agent and CX Enterprise Coworker are designed to plan and execute work across Adobe and third-party systems. Adobe's customer-data and content assets provide context that generic copilots lack. CX Enterprise is explicitly designed as an auditable orchestration layer with human approval.<sup>[4]</sup>

## 5. Accept a near-term monetization trade-off

Management deferred planned H2 FY2026 Creative Cloud price increases and estimates the freemium push costs roughly \$500M of second-half ARR, with payback expected in 2027. That is strategically coherent, but it turns conversion into the central underwriting variable.

**What must happen next:** Free-user growth must translate into paid seats, AI credits and higher-value enterprise workflows without structurally lowering ARPU or pushing compute costs above pricing power. Q3 proved adoption; FY2027 must begin proving unit economics.

# The portfolio is still best-in-class, but not uniformly



Scores reflect competitive position, workflow depth, monetization and strategic relevance; they are analyst judgments, not third-party ratings.

| Platform                | What works                                                | What does not                                  | Score      |
|-------------------------|-----------------------------------------------------------|------------------------------------------------|------------|
| <b>Creative Cloud</b>   | Deep professional tools; integrated suite; file standards | Complexity, price, weak UI/UX position         | <b>9.0</b> |
| <b>Firefly</b>          | Workflow-native; commercial safety; partner choice        | Video economics; variable output; crowding     | <b>8.0</b> |
| <b>Document Cloud</b>   | PDF standard; scale; clear AI use cases                   | E-signature competition; AI bundle pressure    | <b>8.5</b> |
| <b>Experience Cloud</b> | Data-content-activation loop; enterprise trust            | Complex deployment; strong suite rivals        | <b>7.5</b> |
| <b>Express / Stock</b>  | Broad funnel; integrated assets                           | Canva stronger in casual design; Stock exposed | <b>6.5</b> |

## Best product-level moat

**Photoshop + Illustrator + PDF.** The applications are more than feature bundles: they are trained habits, industry language, asset formats, automation, plug-ins and team handoffs. A competitor must replace the workflow, not merely beat one feature.

## Best new monetization surface

**Firefly inside existing work.** The most investable use case is not a standalone image generator; it is generation, editing and provenance embedded in software already used to finish professional work.

## Most underappreciated asset

**Acrobat distribution.** More than 2B installs and 900M+ Acrobat/Express MAU give Adobe a low-cost channel for AI summarization, contract intelligence, creation and conversion.

## Most important weak spot

**Collaborative UI/UX design.** Figma won the browser-native product-design workflow while Adobe XD faded. Adobe's inability to close the acquisition confirms this category is no longer Adobe-controlled.

# Creative Cloud can defend the professional core while widening the funnel

The professional system remains hard to replace

Photoshop, Illustrator, Premiere Pro, After Effects and InDesign each face capable point competitors, yet the full suite remains unusually complete. Shared assets, fonts, libraries, color systems, file handoffs and trained labor create economic lock-in. In enterprise environments, governance and compatibility often matter more than the cheapest tool.

Pricing now separates workflow depth from AI consumption

| Plan        | Monthly price   | Positioning                       |
|-------------|-----------------|-----------------------------------|
| CC Standard | \$54.99         | 20+ desktop apps; limited AI      |
| CC Pro      | \$69.99         | Full suite; 4,000 Firefly credits |
| Single app  | from \$22.99    | Specialist entry point            |
| Photography | \$19.99         | Photoshop + Lightroom             |
| Firefly     | \$9.99-\$199.99 | Standalone AI consumption         |

US annual-plan pricing; regional, promotional and billing-term differences apply. The August 2025 restructuring replaced "All Apps" with Standard and Pro.<sup>[8]</sup>

## WHAT IS IMPROVING

- Image 5 and partner models close quality gaps without forcing users to leave Adobe.
- Firefly Boards and integrated video/audio expand pre-production workflows.
- 22B generated assets indicate engagement at meaningful scale.
- Commercially safe training and provenance matter to brands.

## WHAT IS VULNERABLE

- Canva wins on simplicity and casual collaboration.
- DaVinci Resolve has a strong free/one-time-price video proposition.
- Midjourney, Sora, Veo and Runway shape the generative-media narrative.
- Adobe Stock faces structural substitution from generated content.

## PRICING ASSESSMENT

For working professionals, CC Pro remains economically rational: one hour of billable time can cover a month. For casual creators, the same price architecture looks expensive against free or low-cost alternatives. Deferring another H2 price increase was the correct choice while Adobe rebuilds top-of-funnel engagement.

## GOVERNANCE SCAR

The March 2026 \$150M settlement over allegedly hidden termination fees and difficult cancellations raises reputational and regulatory risk. It also limits Adobe's willingness to lean on contract friction as a retention tool.<sup>[6]</sup>

# Acrobat is the cleanest AI upsell; Experience is the bigger execution test

## Document Cloud: 8.5/10

Acrobat's advantage is distribution plus a durable standard. The company can place AI in a task users already perform: understanding, editing, comparing, signing and sharing documents. Acrobat Studio, Acrobat Express, PDF Spaces and the Productivity Agent move the product from static-file utility toward a collaborative knowledge workspace.<sup>[7]</sup>

### Q3 EVIDENCE

**900M+**

Acrobat + Express MAU

**2x QoQ**

Acrobat AI Assistant paid MAU

**Why it can monetize:** contract intelligence, grounded summaries, citations and workflow automation solve high-frequency problems with lower creative subjectivity than image generation. The \$4.99/month AI Assistant add-on is a low-friction consumer test, while enterprise document workflows can support broader seat and usage expansion.

**Risk:** DocuSign leads e-signature, while Microsoft, Google and general AI assistants can bundle summarization. Adobe must keep PDF intelligence materially better than “good enough” suite features.

## Experience Cloud: 7.5/10

Adobe's enterprise thesis is a content supply chain: create assets, govern brands, unify profiles, activate journeys and measure outcomes. GenStudio, Brand Intelligence, CX Enterprise Coworker and more than 70B daily profile activations give Adobe credible data and workflow context.

### STRATEGIC MOVES

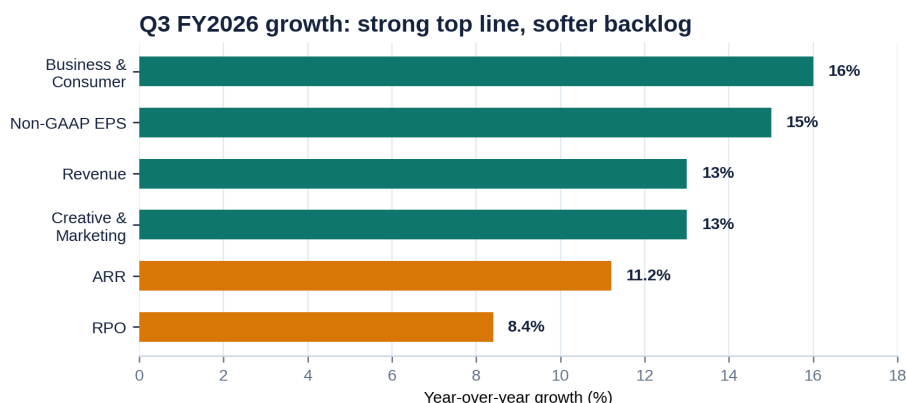
- **GenStudio:** ties content production to performance marketing.
- **Firefly Foundry:** enables proprietary, brand-specific models with NVIDIA infrastructure.
- **SEMrush:** adds SEO and AI-search visibility for \$1.9B.
- **CX Enterprise:** coordinates agents across data, content and journeys.

**Why it can win:** Salesforce and Microsoft own more broad enterprise relationships, but Adobe is uniquely positioned where creative production meets activation. More than 20,000 brands already use Adobe's enterprise stack.<sup>[4]</sup>

**Risk:** implementation complexity, long sales cycles and “platform fatigue” can push buyers toward fewer vendors. Agentforce and Dynamics/Copilot have distribution advantages, while specialists can outperform Adobe in narrow functions.

**Portfolio conclusion:** Document Cloud offers the clearest near-term AI monetization. Experience Cloud offers the larger strategic prize, but its value depends on integration and measurable customer outcomes rather than feature breadth.

# Q3 proved demand and cash generation, not yet monetization acceleration



Growth as reported. AI first ARR grew more than 150%; omitted from chart scale to preserve readability. Sources: Adobe Q3 FY2026 release and earnings remarks. [1][2]

| Metric                    | Q3 FY26         | YoY / context | Assessment              |
|---------------------------|-----------------|---------------|-------------------------|
| Revenue                   | \$6.76B         | +13%          | Beat ~\$6.70B           |
| Creative & Marketing sub. | \$4.65B         | +13%          | Healthy core            |
| Business & Consumer sub.  | \$1.91B         | +16%          | Faster pillar           |
| Ending ARR                | \$27.50B        | +11.2%        | Solid, partly inorganic |
| RPO                       | \$22.16B        | +8.4%         | Watch bookings          |
| GAAP / non-GAAP EPS       | \$4.62 / \$6.13 | +11% / +15%   | EPS beat                |
| Operating cash flow       | \$2.52B         | Q3 record     | Cash engine intact      |

## QUALITY SIGNALS

- Subscription revenue reached \$6.58B, about 97% of total revenue.
- Gross profit was \$6.00B, supporting reinvestment and buybacks.
- Diluted shares fell to 395M from 424M year over year.
- TTM free cash flow of ~\$10.6B implies a ~10.5% equity FCF yield.

## DETERIORATION TO RESPECT

- RPO growth entered single digits for the first time since early FY2023.
- Organic net-new ARR was estimated near \$390M vs \$640M a year ago.
- Non-GAAP operating margin of 44.0% compressed as AI compute investment rose.
- Q4 revenue midpoint was slightly below the Street.

**Read-through:** Q3 is compatible with both theses. Bulls see double-digit growth and rapid AI adoption at a distressed multiple. Bears see paid momentum decelerating while free usage and acquired ARR flatter the headline. Q4 bookings and FY2027 guidance should carry more information than another MAU record.

# A soft Q4 guide is manageable because the balance sheet and buyback provide time

## Raised FY2026 framework

| Metric              | Guidance           |
|---------------------|--------------------|
| Revenue             | \$26.576-\$26.626B |
| Ending ARR growth   | 10.2%              |
| GAAP EPS            | \$18.12-\$18.17    |
| Non-GAAP EPS        | \$24.45-\$24.50    |
| Non-GAAP op. margin | ~45.0%             |

The midpoint implies FY2026 revenue of \$26.60B and non-GAAP EPS of \$24.48. At the September 18 close, Adobe trades at roughly 10.2x guided earnings - a multiple more typical of a no-growth incumbent than a subscription platform growing revenue in double digits.

## Q4 guide: not a clean beat-and-raise

| Metric                      | Guidance       |
|-----------------------------|----------------|
| Revenue                     | \$6.80-\$6.85B |
| Non-GAAP EPS                | \$6.30-\$6.35  |
| Implied non-GAAP op. margin | ~44.0%         |

Revenue midpoint of \$6.825B sat slightly below the Street's ~\$6.85B expectation. The miss is small; the message is larger: management is prioritizing reach and AI capacity over near-term monetization optimization.

**Financial condition:** Low leverage, recurring revenue and ~36% TTM FCF margin make Adobe financially resilient. The central risk is strategic, not solvency. Balance-sheet strength buys time for conversion, but investors should demand evidence that free growth becomes paid growth during FY2027.

### LIQUIDITY AND LEVERAGE

**\$5.64B**

cash + short-term investments

**~\$6.4B**

total debt

**~\$1B**

net debt

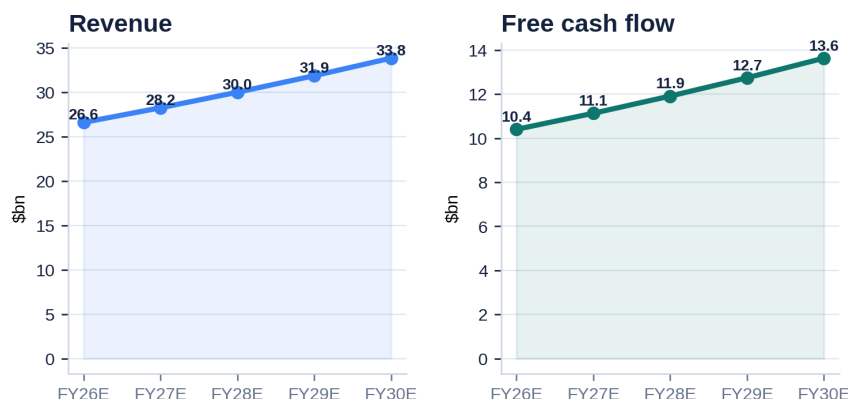
## Buyback can be a material floor

Adobe repurchased 9.5M shares for \$2.23B in Q3. Diluted share count fell 6.8% year over year, from 424M to 395M. The April 2026 authorization had \$24.55B remaining - roughly one-quarter of market capitalization at the current price.<sup>[1][2]</sup>

The authorization is not a commitment to spend immediately. Still, strong FCF plus a low multiple lets each dollar retire more equity. Buybacks can bridge the monetization transition, but they cannot repair a broken competitive position.

**Capital allocation hierarchy:** protect product velocity and AI infrastructure first; use buybacks aggressively below intrinsic value; keep M&A disciplined after the \$1.9B SEMrush acquisition.

# The base case assumes conversion, not heroic acceleration



FY2026 uses management's revenue midpoint and a normalized \$10.4B FCF base. FY2027-FY2030 are analyst estimates.

| Fiscal year | Revenue  | Growth | FCF      | NG EPS  |
|-------------|----------|--------|----------|---------|
| FY26E       | \$26.60B | ~11%   | \$10.40B | \$24.48 |
| FY27E       | \$28.25B | ~6%    | \$11.13B | \$26.00 |
| FY28E       | \$30.00B | ~6%    | \$11.91B | \$27.61 |
| FY29E       | \$31.86B | ~6%    | \$12.74B | \$29.32 |
| FY30E       | \$33.84B | ~6%    | \$13.63B | \$31.14 |

## Growth drivers

- **Freemium conversion:** 100M+ creative free users and 900M+ Acrobat/Express users create a large funnel.
- **AI credits and agents:** New usage-based monetization can supplement seats without replacing them.
- **Enterprise content supply chain:** GenStudio and CX Enterprise connect production, activation and measurement.
- **SEMrush:** Adds SEO and generative-engine visibility, with cross-sell potential.
- **Buybacks:** Lower share count supports EPS growth faster than net income.

## What the model does not assume

- No return to the 20%+ growth era.
- No monopoly in generative media.
- No near-term expansion beyond historical margin ceilings.
- No large acquisition-led acceleration.
- No full monetization of the 1B-user base.

**Model sensitivity:** A one-point change in medium-term revenue growth matters less than whether AI gross margin and renewal economics remain intact. FCF conversion is the load-bearing variable.

**Base-case logic:** Revenue grows at ~6.2% CAGR through FY2030 — cut from ~10% after the net-new ARR collapse (~36–38% YoY) — with FCF compounding alongside as Adobe converts part of the free funnel, scales AI infrastructure and continues disciplined repurchases. Terminal growth is capped at 2.5% on normalized margins. This is demanding, not heroic.

# Adobe's moat is wide, but narrowing at the edges

## What remains defensible

### 1. STANDARDS AND FORMATS

PDF, PSD, AI and professional media formats are embedded in workflows, archives, education and vendor handoffs. Compatibility has network effects.

### 2. WORKFLOW DEPTH

The cost of switching is not just a subscription. It includes retraining, plug-ins, templates, approvals, asset libraries and downstream production risk.

### 3. DISTRIBUTION

More than 1B monthly active users, 2B+ Acrobat installs and enterprise relationships lower customer acquisition cost for new AI products.

### 4. CONTENT-TO-ACTIVATION SYSTEM

Adobe can connect asset creation, brand governance, customer data, campaign delivery and measurement in a way most point tools cannot.

## Where the moat is eroding

### 1. FRONT-END DEMOCRATIZATION

Prompting and templates reduce the training needed to create “good enough” content. This expands the market, but weakens Adobe's skill barrier for casual use.

### 2. CATEGORY-SPECIFIC LOSSES

Figma displaced Adobe in collaborative UI/UX; Canva dominates easy visual communication; DaVinci Resolve is a strong video alternative.

### 3. MODEL COMMODITIZATION

If users value the underlying model more than the editing workflow, economics can shift to OpenAI, Google, Midjourney or Runway.

### 4. PLATFORM GATEKEEPERS

Distribution through ChatGPT and Claude expands reach, but these interfaces can capture intent, data and pricing power.

#### DURABILITY

**High**

Professional creative, PDF, enterprise governance

#### DIRECTION

**Narrowing**

Casual creation, UI/UX, generative ideation

#### MOAT VERDICT

**Wide**

But no longer expanding automatically

**The key distinction:** Adobe's moat protects finished professional workflows better than it protects the first draft. AI attacks ideation and simple creation first; Adobe's response is to pull that activity back into Firefly while preserving the high-value finishing, governance and distribution layers.

# The threat is a portfolio of attackers, not one Adobe replacement

| Competitor                    | Primary attack                              | Adobe's defense                                   | Threat          |
|-------------------------------|---------------------------------------------|---------------------------------------------------|-----------------|
| <b>Figma</b>                  | Collaborative UI/UX and product design      | Broader creative suite; enterprise content system | <b>High</b>     |
| <b>Canva / Affinity</b>       | Casual design, SMB, low-cost pro tools      | Professional depth; Adobe Express; formats        | <b>High</b>     |
| <b>OpenAI / Google</b>        | General AI interface and media generation   | Partnerships; workflow integration; safety        | <b>High</b>     |
| <b>Midjourney / Runway</b>    | Creative quality and generative video       | Partner-model marketplace; finishing tools        | <b>Med-high</b> |
| <b>Apple Creator Studio</b>   | Low-cost consumer/prosumer bundle           | Cross-platform depth and industry standards       | <b>Medium</b>   |
| <b>DaVinci Resolve</b>        | Video editing/color; free/one-time pricing  | Creative suite integration; agency standard       | <b>Medium</b>   |
| <b>DocuSign</b>               | E-signature workflows                       | PDF platform, document AI and creation            | <b>Medium</b>   |
| <b>Salesforce / Microsoft</b> | Enterprise AI, CRM and bundled productivity | Content supply chain and creative data            | <b>High</b>     |

## Figma is the clearest strategic miss

Figma priced its July 2025 IPO at \$33 and closed its first session at \$115.50, implying roughly \$68B fully diluted value - about 3.4x Adobe's blocked \$20B bid.<sup>[9]</sup> The valuation was exuberant, but the product signal is unambiguous: Adobe lost collaborative UI/UX despite owning the adjacent creative stack.

Figma's estimated 80%-90% share in UI/UX is a warning that browser-native collaboration can reset a category before a broad incumbent responds.

## Canva is the funnel competitor

Canva ended 2025 with roughly 265M monthly users, and made Affinity free in 2026.<sup>[10]</sup> It competes on ease, templates, collaboration and price - the same attributes Adobe now emphasizes through Express and freemium.

Adobe does not need to beat Canva in casual design. It must convert enough casual users into higher-value professional or enterprise workflows before Canva moves further upmarket.

### Strategic answer: embrace interoperability

Adobe's decision to host partner models and distribute through ChatGPT is rational. Trying to own every model and interface would be expensive and brittle. The risk is that Adobe becomes a back-end utility while someone else controls discovery and customer economics. Success requires Adobe to remain the trusted system of record for assets, documents, brands and measurable outcomes.

## RISKS

# The bear case is real, observable and concentrated in five metrics

### 1. Paid momentum does not recover

Net-new ARR was estimated down 36%-38% year over year, and RPO growth slowed to 8.4%. If paid bookings remain weak after the freemium investment cycles through, the market's stagnation thesis is correct.

#### MONITOR

Organic net-new ARR, RPO/cRPO, paid conversion, cohort retention.

### 2. AI lowers value faster than it creates value

Generation can reduce time spent in Adobe apps, commoditize stock content and shift value to model or interface providers. Partner models protect relevance but may compress gross margin and differentiation.

#### MONITOR

AI credit revenue, inference cost, Firefly gross margin, cross-app engagement.

### 3. Freemium cohorts do not pay

Management is absorbing roughly \$500M of H2 ARR pressure and deferred pricing to expand reach. Free growth without conversion dilutes ARPU and raises service cost.

#### MONITOR

Free-to-paid conversion, CAC, ARPU, enterprise upsell.

### 4. Leadership turnover disrupts execution

Anil Chakravarthy becomes CEO and Shantanu Narayen executive chair on December 1. CFO Dan Durn departed for Marvell; Steve Day is interim CFO; Creative & Productivity leader David Wadhvani is leaving.<sup>[3]</sup>

#### MONITOR

Permanent CFO, product retention, FY2027 framework, sales execution.

### 5. Competition wins adjacent workflows

Figma proved Adobe can lose a category. Canva, Microsoft, Salesforce and AI-native tools can repeat the pattern across casual creation, collaboration and enterprise orchestration.

#### MONITOR

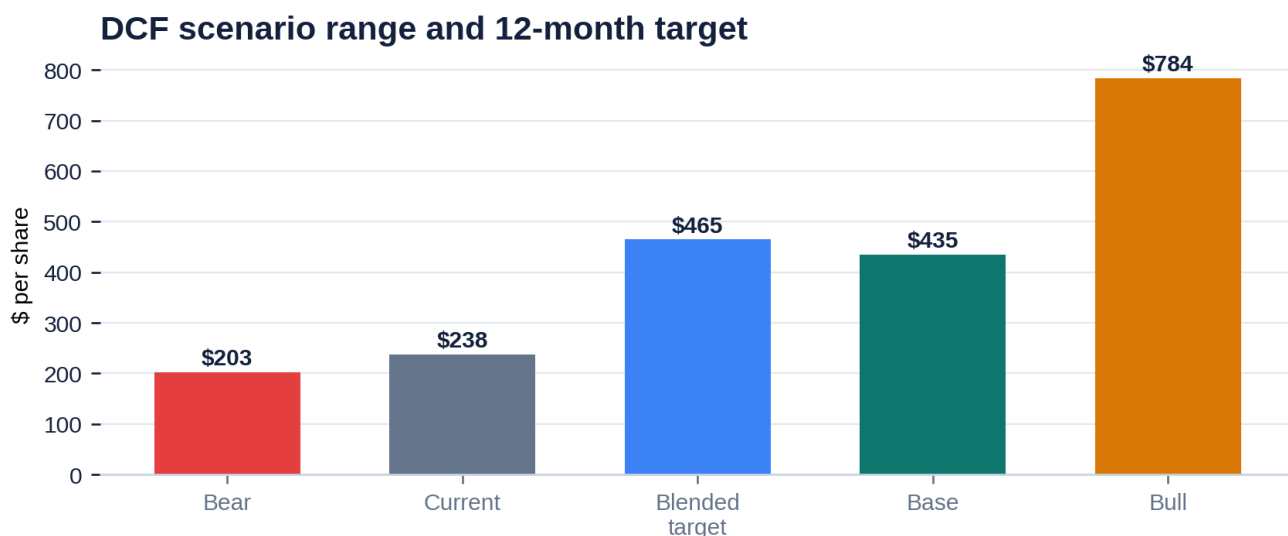
Creative churn, Express share, enterprise competitive wins, pricing.

### Other risks

- Regulation, copyright and training-data liability.
- Currency and macro pressure on enterprise budgets.
- SEMrush integration and acquisition discipline.
- Buybacks destroy value if disruption is structural.
- Reputation after cancellation-practice settlement.

**Thesis-breaker:** Two more quarters of sub-10% RPO growth, weak organic net-new ARR and no evidence of paid conversion would require lowering both the base growth path and terminal value. **Falsification:** net-new ARR re-accelerating above \$550M per quarter would force a full base-case rebuild — the current ~\$390M run-rate is the bear case's best evidence. The stock is cheap, but cheap software can remain cheap when growth quality deteriorates.

# DCF value spans \$203-\$784; the weighted outcome is \$465



Equity values use a \$10.4B FY2026 FCF base, approximately 395M diluted shares and roughly \$1B net debt.

| Case | FCF growth FY27-FY31 | WACC  | Terminal g | Value/share  |
|------|----------------------|-------|------------|--------------|
| Bear | -3% each year        | 12.5% | 1.5%       | <b>\$203</b> |
| Base | ~6.2% CAGR           | 10.0% | 2.5%       | <b>\$435</b> |
| Bull | ~10% CAGR            | 8.5%  | 2.5%       | <b>\$784</b> |

## Base-case math

| Year                  | FCF             | PV @ 10%        |
|-----------------------|-----------------|-----------------|
| FY27                  | \$11.13B        | \$10.12B        |
| FY28                  | \$11.91B        | \$9.84B         |
| FY29                  | \$12.74B        | \$9.57B         |
| FY30                  | \$13.63B        | \$9.31B         |
| FY31                  | \$14.59B        | \$9.06B         |
| <b>Terminal value</b> | <b>\$199.4B</b> | <b>\$123.8B</b> |

## Cost of capital

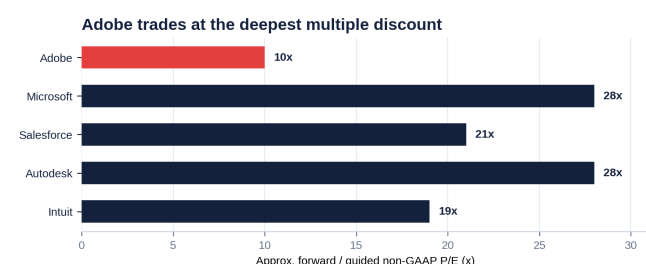
|                           |        |
|---------------------------|--------|
| Risk-free rate            | 4.25%  |
| Equity beta               | 1.4    |
| Market risk premium       | 4.5%   |
| Indicative cost of equity | 10.55% |
| Base WACC                 | 10.0%  |

Near-zero net leverage makes WACC approximately equal to cost of equity. The 10% base discount is the hardened-methodology standard (leadership turnover, freemium ARPU dilution, inference costs), not the CAPM-indicated 10.55%. Values are rounded; the model subtracts about \$1B of net debt.

### Probability weight:

$25\% \times \$203 + 50\% \times \$435 + 25\% \times \$784 \approx \$464$ ; target set at \$465 to avoid false precision.

# Reverse DCF and earnings multiples both point to mispricing



Approximate forward or guided non-GAAP P/E as of September 2026. Different growth, business mix and accounting limit direct comparability.

## REVERSE-DCF RESULT

# ~0.1%

implied annual FCF growth under a five-year constant-growth path and 0% terminal growth

At \$237.69, about 395M shares and ~\$1B net debt, enterprise value is roughly \$95B. Discounting a \$10.4B FCF base at 10% implies the market expects essentially flat cash flow. That is too punitive: the hardened base case assumes only ~6.2% revenue growth, and the market will not even pay for that.

## EPS cross-check

| Input              | Value        |
|--------------------|--------------|
| FY27E non-GAAP EPS | \$26.00      |
| Applied P/E        | 17.0x        |
| Implied value      | <b>\$442</b> |

A 17x multiple is below premium software peers and Adobe's historical growth valuation. It recognizes competitive and transition risk while giving credit for mid-single-digit EPS growth, high margins and buybacks.

## Target bridge

| Method                 | Value        | Weight |
|------------------------|--------------|--------|
| Scenario-weighted DCF  | \$464        | 70%    |
| FY27 EPS at 17x        | \$442        | 30%    |
| <b>12-month target</b> | <b>\$465</b> | 100%   |

The price target does not rely on Adobe regaining a Microsoft-like multiple. It requires the market to stop valuing a growing, high-margin franchise as a melting ice cube.

## Why our target is far above consensus

Street consensus remains Hold with average targets around \$268-\$283. Bears include Morgan Stanley at \$240 Underweight, Stifel at \$200-\$225 and Goldman near \$190 Sell; bulls include RBC at \$315 and Wells Fargo at \$270. The difference is primarily duration: consensus emphasizes near-term ARR deceleration, while our DCF credits the installed base, conversion option and cash generation beyond FY2027.<sup>[11]</sup>

**Valuation discipline:** A \$465 target is not a claim that the stock should re-rate immediately. It is an estimate of value conditional on conversion stabilizing growth. If RPO and organic ARR continue weakening, the bear value near \$203 becomes the relevant anchor.

# Buy the valuation gap, but size around proof

RATING

**BUY**

TARGET

**\$465**

BEAR

**\$203**

BULL

**\$784**

## Catalysts

- **FY2027 conversion:** free cohorts begin paying for seats, agents and credits.
- **AI scale:** AI-first ARR remains triple-digit while Firefly grows from ~\$300M.
- **Bookings:** RPO and organic net-new ARR stabilize or reaccelerate.
- **Leadership:** clean CEO handoff and permanent CFO appointment.
- **Capital return:** \$24.55B authorization retires shares at depressed prices.

## Positioning

**Start with a half position at most.** The valuation supports entry, but the evidence does not yet support maximum conviction. Add after one or more of the following: paid conversion disclosure, sequential improvement in organic net-new ARR, RPO back above 10%, or FY2027 guidance that preserves double-digit growth without deeper margin erosion.

**Risk-reward:** approximately -15% to the \$203 bear value versus +230% to the \$784 bull value. The weighted target implies ~96% upside.

Adobe only needs to prove it is a durable grower - not the sole winner in generative AI.

## SELECTED SOURCES

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5. [Reuters, Adobe apps inside ChatGPT](#), 10 Dec 2025.
6. [Reuters/SRN, \\$150M subscription settlement](#), 13 Mar 2026.
7. [Adobe, Productivity Agent and PDF Spaces](#), 6 May 2026.
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9. [Figma IPO pricing and first-day valuation](#), 31 Jul 2025.
10. [Canva operating metrics compilation](#), Sep 2026.
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